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BUSINESS • EARNINGS

Philip Morris Revenue Boosted by Asia

At the end of fourth quarter Asia was company's largest market

By Jennifer Maloney and Joshua Jamerson

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A customer tries a Philip Morris iQOS in Tokyo. Philip Morris revenue rose 9.1% in the latest quarter, helped by a big boost from the Asia-Pacific region TORU HANAI/REUTERS

Philip Morris International Inc. PM **0.74%** ▲ revenue rose 9.1% in the latest quarter, helped by higher cigarette prices in the Asia-Pacific region and surging sales of its heat-not-burn product in Japan.

Chief Executive André Calantzopoulos, who in December declared that the company is betting on a smoke-free future, said in a conference call Thursday that 2016 was crucial for the company's transformation into one focused on so-called reduced-risk products.

The company reported total cigarette shipment volume of 200.6 billion units, down 4.4%, mostly on weakness in Europe. Revenue edged up 0.5% in Europe, while revenue from Asia climbed 21%. A year ago, the European Union brought in the most revenue for the company; at the end of the 2016 fourth quarter, Asia was its largest market.

Unlike e-cigarettes, which contain nicotine-laced liquid, heat-not-burn devices heat tobacco to a high temperature, vaporizing it.

Philip Morris launched its heat-not-burn product iQOS in Japan in 2014, and it was in 20 markets as of December. On Wednesday, Mr. Calantzopoulos said it could be in as many as 35 markets by the end of this year.

The company plans to submit an application this quarter to the U.S. Food and Drug Administration for approval to sell the device in the U.S., where Altria Group Inc. plans to market it.

Philip Morris in 2016 shipped 7.4 billion units of the tobacco sticks that are inserted in the iQOS device. That number represented the company's maximum manufacturing capacity for the year, Mr. Calantzopoulos said, adding that the volume "would have been much higher" otherwise, particularly in Japan, where as a result of capacity constraints the company has had to limit iQOS device sales since June.

Philip Morris began this year with capacity for 15 billion units and by the end of the year expects to build out capacity for 50 billion units, he said.

As of the end of 2016, 1.4 million adults had quit smoking cigarettes and switched to iQOS, Mr. Calantzopoulos said.

Over all, Philip Morris reported net income of \$1.71 billion, or \$1.10 a share, compared with \$1.25 billion, or 80 cents a share, in the year-prior quarter. Revenue rose to \$6.97 billion from \$6.39 billion and the company said that excluding currency, revenue rose 11%. The company forecasts 2017 full-year earnings per share to be in a range of \$4.70 to \$4.85, up from \$4.48 in 2016.

Shares were up 3% in recent trading.

Corrections & Amplifications

An earlier version of this article incorrectly stated in the photo caption that the device shown was an e-cigarette. The photo shows an iQOS heat-not-burn product.

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